

Corporate Finance

Lecture 5 extras: ESCP alumni raising capital

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ESCP is #2 for alumni fundraising



- ▶ The **Financial Times Masters in Management 2026** ranking measures how much money the companies founded by each school's alumni have raised.
- ▶ Among the top 20 schools, **ESCP ranks second**.
- ▶ Companies founded by ESCP alumni raised **USD 484 million** between January and July 2026.
- ▶ Behind that number: entrepreneurs who convinced investors to put money into their firms. That is a **financing decision**, the subject we start next week.

The top 3 rounds



Skello: staff scheduling and payroll software for shops, restaurants and care homes.



Deep Fission (US): small nuclear reactors buried 1.6 km underground.



Naboo: a platform to book company off-sites and seminars.

- ▶ Together USD 350 million, about **72%** of the USD 484 million. Three very different sectors, one common step: raising outside money to grow.

Another way to raise money: Mistral AI borrows

- ▶ **Mistral AI**, the Paris start-up behind the Le Chat AI assistant, raised **USD 830 million of debt** in March 2026: a loan from seven banks, among them BNP Paribas, Crédit Agricole CIB, HSBC and MUFG.
- ▶ **What it pays for**: 13,800 Nvidia chips for a new data center at Bruyères-le-Châtel, south of Paris, about 44 megawatts of computing power.
- ▶ **Debt, not shares**. The banks do not become owners. Mistral must repay the loan with interest whatever happens; in exchange, its shareholders keep all of the ownership and of the future profits.
- ▶ **Why banks agree to lend**: the money buys physical assets that earn revenue from clients, and the chips themselves can be resold.

Sources: CNBC, 30 March 2026; W.Media, “Mistral raises US\$ 830 million in debt financing to fund AI DC in France”.

What these firms sold: a percentage of the ownership

- ▶ In each round, investors gave the firm cash and received a part of the ownership and of future profits. The firm raised **equity**.
- ▶ Two names on the slides:
 - ▶ **Series B**: a start-up's second large round from venture capital funds, once its product has shown it can sell.
 - ▶ **Private equity**: investment funds that buy shares in companies not listed on a stock exchange.
- ▶ The investors expect a return that pays for the risk they take. That required return, seen from the firm's side, is its **cost of capital**: the link with the CAPM of Lectures 4 and 5.

Next week: capital structure

- ▶ A firm can finance itself with **equity** (selling shares) or with **debt** (borrowing from a bank or issuing bonds). The mix of the two is its **capital structure**.
- ▶ **Two cases, two choices:** Skello, Deep Fission and Naboo sold shares; Mistral AI borrowed USD 830 million from banks.
- ▶ Questions to keep in mind for next week:
 - ▶ Why did the alumni firms sell shares, while Mistral borrowed?
 - ▶ Does the mix of debt and equity change the value of a firm?
 - ▶ Who carries the risk when a firm borrows: the shareholders or the lenders?

Fundraising news is capital structure in action. Read it with the questions above in mind.

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- ▶ The **ESCP Alumni** page posts news like this: rankings, fundraising rounds, career stories of former students.
- ▶ **Why follow it:**
 - ▶ real examples of the decisions we study in class, with real numbers;
 - ▶ a network of alumni in every industry and country, useful for internships and jobs;
 - ▶ the **ESCP Blue Factory**, the school's start-up incubator, if you want to found a company yourself.

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https://www.linkedin.com/posts/escpalumni_escp-ranks-2-for-fundraising-by-its-alumni-activity-7506005446797729794-GQcX